

Day 8 - Module 1 Study Guide

Unit 29 - Florida Laws and Rules Pertinent to Health Insurance

This study guide provides comprehensive and structured content, allowing you to cover the exam topics systematically to help you organize your study plan and ensure you don't miss any crucial concepts. There are spaces available within the study guide for you to type or write in notes on specific topics as you learn more about them in the instructor-led live lecture sessions.

Module Objectives

- **Course Objective:** Recognize Florida statutes, rules, and regulations
- **Learning Objective:** Identify Florida laws pertinent to health insurance

Questions I Should Be Able to Answer Using This Study Guide

- How do non-grandfathered and grandfathered health plans differ?
- What are some of the mandatory and voluntary coverages required under Florida law for health policies and HMO contracts?
- What are the diabetes coverage requirements under Florida law?
- What are some of the mandated provisions for health insurance policies in Florida?
- What is the grace period for health insurance policies?
- What are a few optional provisions in Florida health insurance policies?
- Who qualifies for group health insurance?
- What is the purpose of Mini-COBRA?
- How do group health policies handle conversion and coordination of benefits?
- For what aspects of health insurance does Florida law require disclosure?
- How does Medicare address preexisting conditions?
- How long is the "free-look" period for policyholders?
- What provisions are mandatory for all long-term care policies?
- What provisions establish the minimum standards for long-term care insurance?
- Who is considered an eligible employee for small employers?
- What factors are considered when determining the premiums for small employers?
- How does HIV/AIDS impact health insurance policies?
- Who qualifies for group health insurance?
- For what does a dread disease policy provide coverage?

I. Standard Policy Provision and Clauses

- The minimum benefit standards include a ten-day **free look** period.

• How do non-grandfathered and grandfathered health plans differ?

(Reading: 29.1)

- Health plans are subject to the requirements of the Federal Patient Protection and the Affordable Care Act, unless they were grandfathered in.
- **Non-grandfathered health plans** must adhere to the requirements of the Federal Patient Protection and Affordable Care Act (PPACA).
- **Grandfathered health plans** are group or individual health plans where the insured was enrolled on March 23, 2010 and has maintained uninterrupted coverage since then.
 - Grandfathered plans are not allowed to set lifetime limits or annual limits for essential benefits (although annual limits are permitted).
 - They must extend coverage for dependent adult children until the child reaches the age of 26.
 - Waiting periods exceeding 90 days are prohibited.
 - Grandfathered plans cannot include any exclusions based on preexisting conditions.
 - Grandfathered plans are exempt from the requirement of offering free preventive care and essential health benefits as defined in the law.

• What are some of the mandatory and voluntary coverages required under Florida law for health policies and HMO contracts? *(Reading: 29.1.2)*

• What are the diabetes coverage requirements under Florida law? *(Reading: 29.1.2.2)*

Mandatory and voluntary coverages are governed by specific requirements under Florida law. Some of these requirements include:

- **Diabetes coverage:** health policies and HMO contracts in Florida must include coverage for all essential equipment and services used for the treatment of diabetes.

- **Osteoporosis coverage:** policies and HMO contracts in Florida must include coverage for diagnosis and treatment of osteoporosis, specifically for high-risk individuals.
 - **Coverage for newborn children:** both individual and group health plans that cover family members must provide benefits for children and newborns for a duration of 18 months.
 - **Coverage for natural, adopted, and custodial children:** coverage for family members also extends to adopted children and continues until the child's 18th birthday.
 - **Children's health supervision services:** benefits applicable to children offer coverage for child supervision services from birth to 16 years of age, specifically in the state of Florida.
 - **Children with Disabilities:** Individual and group health insurance policies are required to continue coverage for a child that continues to be both unable to maintain employment due to mental or physical disability and is dependent upon the employee for support and maintenance. (Reading 29.1.2.5.2)
 - **Mastectomy coverage:** coverage for prosthetic devices and reconstructive surgery that follow a mastectomy
 - **Mammogram coverage:** coverage for mammograms
 - **Prohibition of exclusion for fibrocystic condition:** must not deny the issuance or renewal of a policy based on a diagnosis of a fibrocystic condition
 - **Coverage for cleft lip/palate in children:** policies that cover children under 18 years of age must provide treatment coverage for cleft lip and palate
 - **Rebates for wellness program participation:** individual policies may offer premium rebates to individuals who enroll in and maintain participation in health wellness, maintenance, or improvement programs.
 - The rebate amount cannot exceed 10% of the paid premiums.
 - **Restriction on balance billing:** prohibited when the insured receives nonemergency healthcare services at an in-network facility
 - **Balance billing:** charging the insured the difference between what the insurance company paid and what the healthcare provider charged for covered services
 - **Record retention requirements:** licensed agents are required to retain policy records, reports, and endorsements for a minimum of five years following the expiration of the policy.
- What are some of the mandated provisions for health insurance policies in Florida? (Reading: 29.1.3)

- What is the grace period for health insurance policies? (*Reading: 29.1.3.3*)

In health insurance policies, there are several provisions mandated by law, including:

- **Entire Contract Clause:** declares the written agreement to be the complete and final agreement between the parties. This clause supersedes all prior negotiations, understandings, and agreements, whether written or oral.
- **Time Limit on Certain Defenses:** limits the period during which an insurer can contest the validity of the policy based on misstatements made by the insured in the application.
- **Grace periods:** a minimum grace period is required:
 - Seven days for policies with weekly premiums
 - Ten days for policies with monthly premiums
 - 31 days for all other premium payment frequencies
- **Notice of claim:** within 20 days of the incident, the insured must give written notice of a claim.
- **Reinstatement:** allows a previously lapsed policy to be restored under specific conditions.
- **Claim forms:** the insurance company must furnish claim forms to the insured within 15 days of receiving notice of the claim.
- **Proofs of loss:** written proof of loss must be submitted by the insured within 90 days after the loss.
- **Time Payment of Claims:** ensures that claims are paid promptly once the insurer receives the necessary documentation, such as Proof of Loss.
- **Payments of claims:** the insurance company must make benefit payments to the insured.
- **Physical Exam and Autopsy:** allows the insurer to request a physical examination of the insured or an autopsy of the deceased, where permitted by law.
- **Legal Actions:** outlines the timeframe and conditions under which a policyholder can bring a lawsuit against the insurer.
- **Change of beneficiary:** the insured has the right to change the beneficiary at any time by providing written notice.

- What are a few optional provisions in Florida health insurance policies? (*Reading: 29.1.4*)

- **Change of Occupation:** allows the insurer to adjust the policy's benefits and premium rates if the insured changes their job.
- **Misstatement of age or gender:** in the event of a misstatement regarding age or gender, all payable amounts will be adjusted to reflect what the premium paid would have covered based on the correct age or gender.
- **Other Insurance with Insurer:** addresses situations where the insured has multiple policies covering the same risk.
- **Expense-Incurred Insurance with other Insurers:** addresses situations where the

insured has multiple policies covering the same expenses.

- **Non-Expense-Incurred Insurance; Other Insurers:** addresses situations where the insured has multiple policies that do not cover expenses directly but provide other types of benefits.
- **Relation of Earnings to Disability Insurance:** ensures that the benefits paid under a disability insurance policy do not exceed the insured's actual earnings.
- **Unpaid premium:** after a claim has been paid, any outstanding premium amount may be deducted from the claim payment.
- **Prohibited Cancellation for HIV/AIDS:** ensures that insurers cannot cancel or non-renew a health insurance policy solely because the insured has been diagnosed with or treated for HIV/AIDS.
- **Conformity with state statutes:** if any provision of the policy conflicts with state statutes upon its effective date, it will be automatically amended to conform to the minimum requirements of the statute.
- **Illegal Occupation:** states that no coverage is provided if a claim arises from the insured engaging in illegal activities.
- **Intoxicants and Narcotics:** addresses coverage exclusions related to the insured's use of alcohol or drugs.

Notes

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II. Group Health Insurance

- Who qualifies for group health insurance? *(Reading: 29.2)*
 - **Eligible groups:** group health insurance in Florida can be issued to eligible groups that cover more than one individual, including the following categories:
 - Trustee group
 - Employer group
 - Debtor group
 - Associations, labor unions, small employers
 - Association plans must be fully insured by an authorized insurer.
 - **Blanket health insurance:** a form of health insurance that covers special groups such as airlines, schools, districts, colleges, universities, and volunteer fire departments.
- What is the purpose of Mini-COBRA? *(Reading: 29.2.2)*
 - The **Florida Health Insurance Coverage Continuation Act**, also known as **Mini COBRA**, guarantees that employees of small employers who are not covered under the federal COBRA Act of 1985 can maintain access to affordable health insurance coverage.
 - Definitions according to Mini-COBRA:
 - **Small employers:** businesses with fewer than 20 employees
 - **Qualified beneficiary:** includes the covered employee, the spouse of the covered employee, and the dependent children of the covered employee

Remember!

Mini-COBRA is mandated by Florida law.

- **Continuation of coverage:** following the occurrence of a qualifying event, a qualified beneficiary must submit written notice to the carrier within 63 days.
 - The premium for continuation should not surpass 115% of the applicable group premium.

- How do group health policies handle conversion and coordination of benefits?
(Reading: 29.2.3, 29.2.4)

- **Conversion:** in Florida, individuals who are eligible must be granted the issuance of a converted policy.
 - The premium for the converted policy cannot exceed 200% of the standard risk rate.
- **Coordination of benefits:** in Florida, group insurance must have a clause that allows them to coordinate their benefits with any similar benefits offered by other group policies.
- **Employee Retirement Income Security Act (ERISA)** preempts state laws that relate to employee benefit plans, including health and retirement plans. While ERISA preempts many state laws, insurers must still comply with state licensing requirements. This means that insurance companies must be licensed in each state where they operate, and they must adhere to state-specific regulations that are not preempted by ERISA. (Reading 29.2.5)

Notes

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III. Disclosure

- For what aspects of health insurance does Florida law require disclosure? (Reading: 29.3)
 - **Outline of coverage:** delivery of a policy in Florida must include an outline of the coverage.
 - **Renewal agreements/nonrenewal and cancellation:**
 - For individual health insurance, the insurer is required to offer the option of renewal to the individual or group.
 - If the insurer decides not to renew, a notice of nonrenewal must be provided to the insured at least 90 days in advance.
 - For group health insurance, the insurer can make modifications to the coverage during the renewal process, as long as those modifications comply with Florida law and are implemented uniformly across the product.
 - **Advertising** (Reading 29.3.3): When soliciting or selling insurance products, agents must clearly indicate to prospects that they are acting as insurance agents with regard to insurance products and identified insurers
 - **Certificate of coverage:** the insurer is required to provide a certificate to each individual, which includes the group number, features of the coverage, and specifies to whom the benefits are payable.
 - **Group blank health:** this coverage extends to specific groups, such as airlines, schools, districts, colleges, universities, and volunteer fire departments.

Notes

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IV. Medicare Supplement Insurance

- How does Medicare address preexisting conditions? (*Reading: 29.4*)
- How long is the "free-look" period for policyholders?

Minimum standards for Medicare supplement insurance:

- **Preexisting conditions:** a Medicare supplement may not define preexisting conditions to limit liability for a period longer than six months.
 - Additionally, if the person has a continuous term of creditable coverage of at least six months, benefits cannot be excluded due to previous conditions.
- **Free look:** the policy must provide a 30-day free look period.
- **Open enrollment periods:**
 - For individuals aged 65 and over, insurance providers are not allowed to deny coverage or engage in discriminatory practices during the open enrollment period.
 - For individuals under the age of 65, insurance providers are required to provide the opportunity to enroll during the open enrollment period.
- **Advertising and marketing standards:** cannot sell a Medicare supplement policy or certificate that provides the individual with more than one supplement
- These acts and practices are also not allowed:
 - Twisting
 - High-pressure tactics
 - Cold lead advertising: failing to disclose the purpose of the solicitation

Remember!

Medicare supplement policies must be guaranteed renewable.

- **Permitted Compensation Arrangements** for Medicare supplement policies are regulated to ensure fairness and prevent excessive compensation. (*Reading 29.4.3.1*)
 - **First-Year Compensation:** The first-year commission or other compensation for selling a Medicare supplement policy cannot exceed 200% of the commission or compensation paid for selling or servicing the policy in the second year.
 - **Renewal Compensation:** The compensation provided in subsequent (renewal) years must be the same as that provided in the second year and must be provided for no fewer than five renewal years.
 - **Replacement Policies:** If an existing policy or certificate is replaced, the compensation to agents or producers cannot exceed the renewal compensation payable by the replacing issuer on renewal policies or certificates
- **Multiple Policies:** Medicare Supplement insurance may not be issued or sold to an individual if it will result in providing that person more than one Medicare Supplement or an individual writes a statement indicating they are entitled to Medicaid. (*Reading 29.4.3.2*)

- **Duplication of Benefits:** No Medicare supplement policy or certificate in force in the state must contain benefits that duplicate benefits provided by Medicare. (Reading 29.4.6)
- **Standardized Policies (A-N)(Reading 29.4.7):** The following standards are applicable to all Standardized Medicare supplement policies delivered or issued with an effective date for coverage on or after January 1, 2020:
 - Medicare Supplement policies must be guaranteed renewable
 - Only policies that comply with benefit standards may be advertised, solicited, delivered and issued for delivery
 - Medicare supplement policies cannot indemnify against losses resulting from sickness any differently than they would for losses resulting from accidents
 - Benefits offered in Medicare supplement policies must continue to align with the cost sharing amounts under Medicare, including any changes applicable to deductible, copayments, or coinsurance
 - A Medicare supplement policy must not terminate coverage of a spouse resulting from an occurrence specified for the insured other than nonpayment of premium
 - Medicare supplement policies issued before January 1, 2006, that included coverage for outpatient prescription drugs may be renewed for current policyholders.

Notes

Use this space to take additional notes on this topic during the live lesson.

V. Long-Term Care Insurance (LTC)

- What provisions are mandatory for all long-term care policies? (*Reading: 29.5*)

Long-term care insurance incorporates various disclosure provisions to ensure transparency and suitability, including:

- **Outline of coverage:** at the time of application, the applicant must receive an outline detailing the coverage.
- **Buyer's guide:** all prospective applicants must be provided with a shopper's guide developed by the NAIC.
- **Producer's training:** insurers must keep records of any producer who sells, solicits, or negotiates a long-term care policy, and make sure that they have the requisite and adequate training.
- **Suitability:** insurers are responsible for maintaining suitability standards to assess whether the purchase or replacement of a policy is appropriate.

Policy standards for long-term care insurance include various provisions to protect policyholders, such as:

- **Free look:** a mandatory free-look period of 30 days, during which the policyholder can review the policy and cancel it if not satisfied
- **Limitations and exclusions:** LTC policies cannot be canceled, nonrenewed, or terminated based on age or the insured's mental or physical health.
- **Inflation protection:** must be no less favorable to the policyholder than an annual benefit increase of at least 5% compounded annually
- **Grace period and unintentional lapse:** must provide a grace period of at least 30 days to prevent unintentional lapses in coverage
- **Conditions for benefit payment:** Based on the insured's capacity to carry out activities of daily living like washing, dressing, eating, bathing, and transporting, LTC plans may determine benefit payments.
- **Conditions Determining Benefit Payment:** specific requirements that must be met for an insurer to pay out a claim. These conditions can vary widely depending on the type of insurance and the specific policy.

- What provisions establish the minimum standards for long-term care insurance? (*Reading: 29.5.4*)
 - Every long-term care (LTC) policy must include coverage for at least one type of lower level of care, which may include:

- Nursing care
 - Assisted living facility
 - Home health care
 - Adult care
 - Adult foster home
 - Community care
 - Personal care and social services
- Definitions and criteria related to the insured's health condition include Reading (29.5.6):
 - **Chronically ill:** refers to individuals who have been certified by a licensed healthcare practitioner as meeting certain criteria, including:
 - The ability to carry out a minimum number of activities of daily living for a predetermined amount of time without significant assistance
 - Requiring substantial supervision due to severe cognitive impairment
 - **Cognitive impairment:** refers to a condition where a person experiences a deficiency in their long-term or short-term memory, which significantly affects their awareness of safety
 - **Home health services:** medical or nonmedical services provided to ill, disabled or infirm people within their residences
 - **Personal care:** the provision of hands-on services to assist an individual with activities of daily living
 - **Long-term care partnership:** a collaboration between Medicaid and private long-term care insurance designed to incentivize individuals to purchase private long-term care insurance.

Notes

Use this space to take additional notes on this topic during the live lesson.

VI. Requirements for Small Employers (*Reading: 29.6*)

The **Florida Employee Health Care Access Act** aims to make coverage more accessible to small employers, without consideration of claims experience or the health status of employees.

- Who is considered an eligible employee for small employers? (*Reading: 29.6.1*)
 - **Eligible employee:** an employee who works a minimum of 25 hours per week ○ **Special provisions:** there must be an initial enrollment period of at least 30 days, as well as an annual enrollment period of the same duration
 - **Fair marketing standards:** small employers must offer and issue all plans on a guarantee-issue basis.
 - **Benefit plans:** the following coverages must be included in the standard health benefit:
 - Inpatient hospitalization
 - Outpatient services
 - Newborn children
 - Childcare supervision
 - Adopted children
 - Mammograms
 - Handicapped children
 - Emergency or urgent care
 - Hospice
- What factors are considered when determining the premiums for small employers? (*Reading: 29.6.7*)
 - **The Small Employer Rating, Renewability, and Portability Act** establishes a commission to ensure that the rates offered to small employers are consistent and reasonable.
 - Requires that small employer carriers use the **modified community rating method** to determine the premium for small employers.
 - Considers variables such as the eligible employees' and dependents' gender, age, family structure, tobacco usage, and location.
 - **Guaranteed issue coverage:** provided to small employers with a workforce consisting of two to 50 eligible employees.

Notes

Use this space to take additional notes on this topic during the live lesson.

VII. HIV/AIDS Insurance Requirements

- How does HIV/AIDS impact health insurance policies? (*Reading: 29.8*)
 - **HIV testing/AIDS exclusion clauses:** before conducting an HIV test, the insurer is required to disclose their intention and obtain written informed consent from the individual.
 - **Prohibited cancellation for HIV/AIDS:** insurers may not cancel or non-renew the policy of an insured individual solely based on their diagnosis of HIV or AIDS.

Notes

Use this space to take additional notes on this topic during the live lesson.

VIII. Types of Available Healthcare Plans

- What types of healthcare plans are available in Florida? (*Reading: 29.9*)
 - **Health maintenance organization (HMO):** a comprehensive health care system that delivers complete health care services to its members with a strong focus on preventive care
 - **Indemnity plan:** a plan that offers a fixed payment amount based on the duration of hospitalization, providing financial coverage for insured individuals
 - **Discount plan:** a contractual arrangement where individuals gain access to discounted services from providers in exchange for fees or other considerations
 - **Shared savings incentive program:** insurers may implement this program to encourage insured individuals to choose healthcare services from providers on the insurer's shared savings list, offering incentives for cost savings.
 - **Direct health care:** this model removes intermediaries from the provider-patient relationship, enabling direct interactions between health care providers and patients.
- For what does a dread disease policy provide coverage? (*Reading: 29.10*)
 - **Dread disease policy:** a policy that specifically covers specific illnesses, such as cancer or heart disease

Notes

Use this space to take additional notes on this topic during the live lesson.

IX. Key Concepts

Add notes or definitions for each of the key concepts in the **Notes** column next to the term.

Key Concept	Notes
Grandfathered plans	
Free-look privilege	
Preexisting conditions	
Florida Employer Health Care Access Act	
Florida Health Insurance Coverage Continuation Act	
Guaranteed issue basis	
Small employer	
Portability	
Community health purchasing	
Medicare supplements	

HMOs	
EPOs	
PLHSOs	
Group health insurance	
Long-term care insurance policy	

X. Check Your Understanding

Check your understanding of the topics covered in this unit by answering the following questions.

1. Legal action cannot be pursued after _____ years from filing a health insurance claim proof of loss.
 - a. 1 year
 - b. 4 years
 - c. 5 years
 - d. 2 years
2. Choose the CORRECT statement regarding the 10-day free look privilege in a health insurance contract.
 - a. It gives the insured 10 days after receiving the policy to reject it and receive a full refund.
 - b. It gives the insured an additional 10 days to pay the premium.
 - c. Only the insurance company can waive it.
 - d. It is an option granted only by the agent.
3. Which statement regarding the outline of coverage for health insurance policies is NOT correct?
 - a. The outline must be provided when the application is completed or when the policy is delivered.
 - b. Principal benefits, which are shown in the policy, do not need to be included in the outline.
 - c. The outline should provide a summary statement of principle exclusions.
 - d. The outline must provide any rate the insurer reserves to change premiums.
4. If a health insurance company tests a prospect for AIDS/HIV, he or she must sign a(an) _____ form.
 - a. notice of informed consent
 - b. AIDS/HIV rate disclosure form
 - c. AIDS/HIV underwriting disclosure form
 - d. outline of coverage
5. Which of the following is NOT a provision that is required by Florida law for group health insurance policies?
 - a. Group health policies must provide coverage for mental and nervous disorders.
 - b. A newborn infant is covered from the moment of birth.
 - c. Coverage must be provided for a handicapped child who is a family member until he or she reaches the age of 25.
 - d. Group health policies must provide coverage for a newborn infant of a covered family member until the infant reaches 18 months of age.

XI. Key Concepts Answers

The following are the definitions for the Key Concepts listed for this unit.

Key Concept	Notes
Grandfathered plans	This term refers to a health insurance plan that was in existence before the Affordable Care Act (ACA) was enacted on March 23, 2010. These plans are exempt from certain ACA requirements, but they must meet certain criteria to maintain grandfathered status.
Free-look privilege	A provision in an insurance policy that allows the policyholder a period of time (usually 10–30 days) after receiving the policy to review its terms and cancel the policy without penalty.
Preexisting conditions	Medical conditions or illnesses that a person has before they enroll in a health insurance plan.
Florida Employer Health Care Access Act	This refers to the legislation in Florida that aims to improve access to health care for employers and employees by providing guidelines and regulations for health insurance coverage offered by employers.
Florida Health Insurance Coverage Continuation Act	Also known as Mini-COBRA, this act ensures that employees of small employers who are not eligible for federal COBRA coverage have continued access to affordable health insurance coverage.
Guaranteed issue basis	A requirement that insurance companies must offer coverage to all applicants who meet certain criteria, regardless of their health status or medical history
Small employer	An employer with fewer than 50 full-time employees or their equivalent
Portability	The ability to continue health insurance coverage when a person changes jobs or loses their job, typically through a continuation of coverage option such as COBRA
Community health purchasing	The distribution of pooled cash to healthcare professionals to provide medical services on behalf of the group
Medicare supplements	Private insurance policies that provide additional coverage to Medicare beneficiaries to help pay for out-of-pocket costs, such as deductibles, co-payments, and coinsurance
HMOs	HMOs are a type of managed care health insurance plan that typically

	require members to select a primary care physician and obtain referrals to see specialists. They provide comprehensive health services for a fixed fee.
EPOs	EPOs are a type of managed care health insurance plan that offer coverage only if members use health care providers within a specific network. They do not require members to choose a primary care physician or obtain referrals for specialists.
PLHSOs	PLHSOs are organizations that provide limited health services for a prepaid fee. They typically offer services such as dental, vision, or prescription coverage.
Group health insurance	A health insurance plan offered by an employer or other organization that provides coverage to a group of individuals, such as employees and their families
Long-term care insurance policy	A type of insurance that pays for the costs of long-term care, including nursing home care, in-home care, and facilities for assisted living

XII. Check Your Understanding Answers

1. The correct answer is **c. 5 years**. Legal action cannot be pursued after 5 years from filing a health insurance claim proof of loss.
2. The correct answer is **a. It gives the insured 10 days after receiving the policy to reject it and receive a full refund**. The insured is allowed an additional 10 days to exercise this privilege. This applies to the 10-day free look privilege in a health insurance contract.
3. The correct answer is **b. Principal benefits, which are shown in the policy, do not need to be included in the outline**. This statement is accurate about the coverage for health insurance policies. It is true that health insurance policies must include an outline of coverage; it must be given at the time of application or delivery of the policy; it must include a short explanation of major exclusions; and it must include any rate the insurer reserves to change premiums.
4. The correct answer is **a. notice of informed consent**. If a health insurance company tests a prospect for AIDS/HIV, he or she must sign a notice of informed consent form.
5. The correct answer is **c. Coverage must be provided for a handicapped child who is a family member until he or she reaches the age of 25**. Coverage for a handicapped child who is a family member until he or she reaches the age of 25 is NOT a provision required by Florida law.